

Some examples of this include:

- You're flushing money down the toilet if you drink a latte.^{[438](#)}
- It's financial suicide to own a house.^{[439](#)}
- Never buy a boat or a sports car.^{[440](#)}
- Don't pay for your kids' college.^{[441](#)}

Underpinning all these warnings is a fundamental misunderstanding about the difference between a) spending and b) spending *beyond your means*. The former is how we consume the goods and services we need to go about our daily lives, acquiring the things we want because we enjoy them; the latter is an error in judgment, a behavior fraught with risk that really does have the potential to lead you down the path of financial ruin.

Simply saying no to consumption is lazy and thoughtless. Personal spending should be determined by the totality of the buyer's financial circumstances, needs, desires, and goals.

Spending scolds are not only wrong, they are tedious bores. They invariably cite a wealthy person who lives frugally, implying that you, too, can acquire great sums of money just by being cheap. This is, of course, a deeply flawed argument that totally misunderstands the most basic issues of how household budgets work.

A favorite silly story of thrift involved National Basketball Association (NBA) star Kawhi Leonard.^{[442](#)} He had signed a three-year \$103 million contract with the Los Angeles Clippers but was still driving a 20-year-old SUV. Yet here's the thing: You could skip buying a new car for the rest of your life, and you will still never be as rich as Leonard because you are not a two-time NBA champion, six-time All-Star, and one of the greatest two-way players in NBA history.

Driving an old car is not a budget-conscious virtue—it is *reckless and irresponsible for a professional athlete*. A modest accident that damages